
Freelancer Tax Deduction Checklist 2026

Every Deduction You're Legally Entitled To

19 categories • IRS-compliant • Self-employed & contractors

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Before You Begin

This checklist covers the most common and highest-value tax deductions available to freelancers, independent contractors, and self-employed individuals in the United States. For each category, we've included the deduction percentage, self-employment notes, and space to record your totals.

Important: Keep ALL receipts and documentation. The IRS requires substantiation for deductions. Use accounting software (QuickBooks Self-Employed, FreshBooks, or even a spreadsheet) to track expenses year-round.

Your 2026 Deduction Tracker

■ 01. Office Supplies	100%	\$ _____
Fully deductible if used exclusively for business. Includes pens, paper, printer ink, folders, notebooks, stamps.	Deduction Rate	Your Total
■ <i>Receipts from office stores. Keep a log if items are mixed personal/business use.</i>		
■ 02. Software & Subscriptions	100%	\$ _____
Business software (Adobe, Notion, Slack, Zoom, Quickbooks, project management tools). Streaming/entertainment NOT deductible.	Deduction Rate	Your Total
■ <i>List all recurring SaaS subscriptions. Cancel unused ones before year-end.</i>		
■ 03. Equipment & Hardware	100%*	\$ _____
Computers, monitors, printers, cameras, microphones, hard drives. *Section 179 allows 100% first-year deduction for qualifying equipment.	Deduction Rate	Your Total
■ <i>Keep purchase receipts and record the business-use percentage if also used personally.</i>		
■ 04. Internet & Phone	50–100%	\$ _____
Deduct the business-use percentage of your internet and phone bills. 50% is the IRS safe harbor; document if you claim more.	Deduction Rate	Your Total
■ <i>Calculate actual business vs personal use or use the 50% safe harbor to avoid scrutiny.</i>		

■ 05. Travel & Transportation 100% \$		
Business flights, hotels, taxis, rideshare, car rentals when traveling for work. Meals during travel are 50% deductible. Deduction Rate Your Total		
■ Keep itinerary, business purpose notes, and all receipts. Use a travel log.		

■ 06. Business Meals 50% \$		
Client meals and meals with business purpose are 50% deductible. Must have business discussion; document attendees and topic. Deduction Rate Your Total		
■ Note: entertainment (concerts, sports) is no longer deductible since TCJA 2017.		

■ 07. Vehicle / Mileage Varies \$		
Standard mileage: \$0.70/mile (2026 rate). Or deduct actual vehicle expenses × business-use percentage. Track every business trip. Deduction Rate Your Total		
■ Use an app like MileIQ or Everlance to auto-track mileage. Cannot switch methods mid-year.		

■ 08. Home Office Varies \$		
Dedicated space used regularly and exclusively for business. Simplified: \$5/sq ft (max 300 sq ft = \$1,500). Regular: pro-rated utilities, rent, depreciation. Deduction Rate Your Total		
■ Measure your office space precisely. This deduction requires exclusive business use — no guest bed allowed.		

■ 09. Health Insurance 100% \$		
Self-employed health insurance premiums for you, spouse, and dependents. Deducted on Schedule 1, not Schedule C. Cannot exceed net self-employment income. Deduction Rate Your Total		
■ One of the most valuable SE deductions. Includes dental and vision premiums.		

■ 10. Education & Training 100% \$		
Courses, books, webinars, conferences, coaching that maintain or improve skills for your current business. Cannot be for a new career. Deduction Rate Your Total		
■ Udemy, Coursera, online courses, industry conferences, books — all qualify if business-related.		

■ 11. Professional Services 100% \$ _____		
Accountant/CPA fees, attorney fees, business consultant fees, bookkeeping — when directly related to your business.	Deduction Rate	Your Total
■ The cost of this guide's tax help is deductible! Keep invoices from all professional service providers.		
■ 12. Retirement (SEP-IRA/Solo 401k) Up to 25% \$ _____		
SEP-IRA: contribute up to 25% of net SE income (max \$69,000 for 2024). Solo 401k: even higher limits. Reduces both income and SE tax.	Deduction Rate	Your Total
■ Most underused deduction. Set up before tax filing deadline (including extensions) for SEP-IRA.		
■ 13. Advertising & Marketing 100% \$ _____		
Facebook/Google ads, website hosting, domain names, business cards, logo design, SEO tools, social media management costs.	Deduction Rate	Your Total
■ Track all paid advertising separately. Don't forget domain renewals and hosting fees.		
■ 14. Bank Fees 100% \$ _____		
Monthly fees, wire transfer fees, payment processing fees (Stripe, PayPal, Square takes 2.9%+30¢ — all deductible), overdraft fees on business accounts.	Deduction Rate	Your Total
■ Use a dedicated business bank account and credit card to make this deduction easy to track.		
■ 15. Contract Labor 100% \$ _____		
Payments to subcontractors, virtual assistants, freelancers, designers. Issue 1099-NEC for anyone paid \$600+ in a year.	Deduction Rate	Your Total
■ Keep contracts, invoices, and W-9 forms. Failure to issue 1099s can result in penalties.		
■ 16. Licenses & Permits 100% \$ _____		
Business licenses, professional certifications, state/local permits required to operate your business legally.	Deduction Rate	Your Total
■ Annual renewal fees count. Keep all government correspondence and payment receipts.		

■ 17. Utilities	Pro-rated	\$ _____
If claiming home office: pro-rated electricity, gas, water based on office square footage vs total home square footage.	Deduction Rate	Your Total
■ Formula: <i>(Office sq ft / Total home sq ft) × Annual utility cost = Deductible amount.</i>		

■ 18. Phone Plan	50–100%	\$ _____
Separate business phone: 100% deductible. Personal phone used for business: deduct business-use percentage (document usage).	Deduction Rate	Your Total
■ Consider a separate business phone line to simplify record-keeping and maximize deduction.		

■ 19. Charitable Contributions	Up to 60% AGI	\$ _____
Cash donations to 501(c)(3) organizations. Note: deducted on Schedule A (itemized), not Schedule C.	Deduction Rate	Your Total
■ Only deductible if you itemize. QCDs (qualified charitable distributions) from IRA can be tax-advantaged.		

Annual Totals Summary

Total Deductions:	\$ _____
Gross Self-Employment Income:	\$ _____
Net Income (Gross - Deductions):	\$ _____
Estimated SE Tax (15.3% × 92.35% of net):	\$ _____
SE Tax Deduction (50% of SE Tax):	\$ _____
Adjusted Gross Income:	\$ _____

Tax Filing Tips for Freelancers

Quarterly Estimated Taxes

If you expect to owe \$1,000+ in taxes, pay quarterly (April 15, June 15, September 15, January 15). Underpayment penalties add up fast.

Separate Business Bank Account

The single best thing you can do. It makes tracking deductions trivial, protects you in an audit, and looks professional to clients.

Self-Employment Tax Deduction

You pay both employee and employer Social Security/Medicare (15.3%) on net earnings. But you can deduct 50% of that on your 1040.

Qualified Business Income (QBI)

Many self-employed individuals can deduct 20% of qualified business income under Section 199A. Talk to your CPA about eligibility.

Retirement Contributions

Max out your SEP-IRA or Solo 401k. This reduces taxable income dollar-for-dollar and builds wealth simultaneously.

Hire Your Kids

If you have children under 18 and a sole proprietorship, wages paid to them are deductible and potentially tax-free for the child (up to standard deduction).

Keep Records for 7 Years

The IRS generally has 3 years to audit, but 6 years if they suspect underreported income. Keep all business records for at least 7 years.

IRS DISCLAIMER: This checklist is for educational purposes only and does not constitute tax advice. Tax laws change frequently and individual situations vary. Always consult a qualified CPA or tax professional before filing your taxes. The information provided reflects general 2025/2026 tax law and IRS guidance and is not a substitute for professional advice tailored to your specific situation.